

*So, why do stock prices change? The best answer is that nobody really knows for sure. Some believe that it isn't possible to predict how stock prices will change, while others think that by drawing charts and looking at past price movements, you can determine when to buy and sell. The only thing we do know is that stocks are volatile and can change in price extremely rapidly.*

*The important things to grasp about this subject are the following:*

- 1. At the most fundamental level, supply and demand in the market determines stock price.*
- 2. Price times the number of shares outstanding (market capitalization) is the value of a company. Comparing just the share price of two companies is meaningless.*
- 3. Theoretically, earnings are what affect investors' valuation of a company, but there are other indicators that investors use to predict stock price. Remember, it is investors' sentiments, attitudes and expectations that ultimately affect stock prices.*
- 4. There are many theories that try to explain the way stock prices move the way they do. Unfortunately, there is no one theory that can explain everything. Outstanding T o further complicate things, the price of a stock*